



Primary Market Daily Report Assumptions

Origination Market Concentration

Lag Between Asof Date and Issued Date

Before 6/1/2011, there is one month lag between Asof and Issued date. But after 6/1/2011, there is no lag between them (Asof = Issued date). We use two algorithms to fit both periods and combine them together on 6/1/2011.

Trends in Specified Pool Issuance

Definitions for the Specified Pools:

Non-TBA Eligible Specified Pools

Jumbo	Loan Size >= 417,000
CQ	LTV > 125
CR	105 < LTV <= 125

TBA Eligible Specified Pools

Low FICO	FICO < 700
MHA	100% Refi & 80 < OLTV <= 105
Investor	100% Investor
175K	150k < AOLS <= 175k
HLB	110k < AOLS <= 150k
MLB	85k < AOLS <= 110k
LLB	AOLS <= 85k
Geo	NY, PR

FHA Single-Family Application Activity

Does not include Home Equity Conversion Mortgage (HECM)

FHA Streamline Low MIP:

MIP decreased on June 11, 2012 for targeted streamline refinance loans to 1/55 bps

Credit Availability Index

Index number is measured by cumulative default rate.

Product Type	Source
FHA	Accordion
VA	Accordion
Conforming	Accordion
Jumbo	Conforming
Alt-A	FHA + 0.5 Conforming
Subprime	2x FHA